The system of income taxation bases tax on income generated. The system of value-add taxation bases tax on value added created. The system of wealth taxation would require to be based on the change in the valuation of assets and capital gains made in transfer of assets.

Income Taxation

Indian Income Tax Law

The Constitution divides the authority to tax incomes between the Union and the States. Entry 82 of the Constitution allocates the subject of taxes on income other than agricultural income to the Union. There is a separate Entry 85 for Corporation Tax. The state list in the Seventh Schedule of the Constitution allocates land revenue to the states (Entry 45). Entry 46 allocates taxes on agricultural income to the states. Taxes on lands and buildings are also given to states (Entry 49).

The British introduced income tax in India as soon as the Queen of England took over the administration of India. The Indian Income Tax Act 1860 was introduced along with the first Budget of India in 1860. This made four kinds of income taxable: income from landed property, income from professions and trades, income from securities and income from salaries and pensions.

The law was abolished for some time, came back and trudged along before a more comprehensive Income Tax Act was enacted in 1886. It replaced income from landed property and income from professions and trades with net profits of companies and other sources of income. Salaries, pensions and gratuities continued to be taxed as such and income from securities was made more specific—interest on securities of the Government of India.

The next major edition came in 1922, which is the law that was in force when India became independent in 1947.